

developed. Instead of a universal theory of investment behavior, behavioral finance research relies on a broad collection of evidence pointing to the ineffectiveness of human decision making in various economic decision-making circumstances.

WHY UNDERSTANDING AND IDENTIFYING BEHAVIORAL BIASES IS IMPORTANT

By understanding the effects of behavioral biases on the investment process, investors and their advisors may be able to improve economic outcomes and attain stated financial objectives. In my experience, simply identifying a behavioral bias at the right time can save clients from potential financial disaster. During my 20-plus-year career, spanning numerous market meltdowns, including but not limited to 1987, 1998, 2001, and 2008–2009, I’ve talked many of my clients “down from the ledge” and out of selling their risky assets at the wrong time. This behavior-modifying advice has built copious amounts of goodwill for me and also helped clients continue on the path to reaching their financial goals. In other cases, I identified a behavioral bias or a group of biases and decided to adapt to the biased behavior in the investment process so that overall financial decisions improved. For example, some investors have a gambling instinct and want to take a risk with some of their capital. My advice in many of these cases is to carve out a small percentage of the portfolio for risky bets, leaving the vast majority of wealth in a prudent, well-organized portfolio. In short, knowledge of the biases reviewed in this book and the modification of or adaption to irrational behavior may lead to superior results.

How to Identify Behavioral Biases

Biases can be diagnosed by means of a specific series of questions. In this book, Chapters 4 through 23 contain a list of diagnostic questions to determine susceptibility to each bias. In addition, a case-study approach is used to illustrate susceptibility to biases. In either case, as advisors begin to incorporate behavioral analysis into their wealth management practices, they will need to administer diagnostic “tests” with utmost discretion, especially at the outset of a relationship. When one becomes very good at diagnosing irrational behavior, it can be done without fanfare or much notice. As they get to know their clients better, advisors reading this book should try to apply what they’ve learned in order to gain a tentative sense of a client’s biases prior to administering any tests. This will improve the quality of advice when taking into account behavioral factors.